

**BEFORE THE PUBLIC UTILITIES COMMISSION
OF THE STATE OF CALIFORNIA**



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Order Instituting Rulemaking to
Enhance Demand Response in
California.

Rulemaking 25-09-004
(Filed September 18, 2025)

**REPLY COMMENTS OF THE VEHICLE-GRID INTEGRATION COUNCIL ON
ORDER INSTITUTING RULEMAKING TO ENHANCE DEMAND RESPONSE IN
CALIFORNIA**

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Date: December 1, 2025

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In accordance with the Rules of Practice and Procedure of the California Public Utilities Commission (“Commission”), the Vehicle-Grid Integration Council (“VGIC”) hereby submits these reply comments on the *Order Instituting Rulemaking to Enhance Demand Response in California* (“OIR”), issued on September 29, 2025.

I. INTRODUCTION.

VGIC reiterates its support for the Commission’s goal of modernizing demand response (“DR”) policy to reflect evolving customer technologies and grid needs. In opening comments, several stakeholders detailed the opportunities for electric vehicles (“EV”) and associated vehicle-grid integration (“VGI”) solutions to be considered within the scope of this OIR. VGIC offers the following comments in response to party opening comments, summarized below:

- Bridge funding for demand response programs should be pursued prior to the next demand response applications.
 - Specifically, ELRP should be extended for EVs given the lack of other opportunities for EV aggregations in California.
- Developing universal pilot sunset criteria is not well-suited for this proceeding given wide variations in existing pilot goals, designs, and customer types.

II. BRIDGE FUNDING FOR DEMAND RESPONSE PROGRAMS SHOULD BE PURSUED PRIOR TO THE NEXT DEMAND RESPONSE APPLICATIONS.

In Opening Comments on the OIR, the investor-owned utilities (“IOUs”) raised concerns that the next round of DR applications is due November 1, 2026 and this proceeding is just kicking off now. VGIC anticipates that many of the matters discussed in this proceeding, such as guiding principles, dual participation policies, valuation methodologies and data systems, would materially impact the proposals put forward by the IOUs in their next application. However, the OIR does not propose having an initial decision on even guiding principles until Q3 2026, or as late as September 2026, which Pacific Gas and Electric (“PG&E”) states is too late to be fully incorporated by the IOUs in their November applications.¹

Instead, all three IOUs request some form of bridge funding for 1-2 years to allow for the delay in the filing of a full 5-year DR application, which VGIC believes is reasonable and also prudent given the importance of the DR issues that will be discussed in this proceeding. The IOUs have slightly different recommendations and proposed possibilities for approving this bridge funding, but all recommend 1 or 2 years of bridge funding and to extend the filing of the next DR application by at least 6 months.² VGIC believes that considering 2 years of bridge funding for simple program extensions is reasonable based on the proposed schedule set by the Commission. It is also critical that the approval of bridge funding be done expeditiously. Southern California Edison (“SCE”) therefore recommends that bridge funding be considered and approved in this proceeding instead of a separate regulatory venue. San Diego Gas and Electric (“SDG&E”) similarly notes that the regulatory process for bridge funding should be much shorter and truncated compared to a full-scale application, and that “filing a full application for a single year is not a

¹ PG&E Opening Comments at A-18.

² PG&E Opening Comments at A-18; SCE Opening Comments at 3-5; SDG&E Opening Comments at 15.

practical solution.”³ As SDG&E notes, there was a full application process for 2023 bridge year funding and this required significant time and resources from the Commission, IOUs, and other stakeholders (including VGIC). VGIC agrees that this level of effort is not necessary for bridge year funding for 2028-2029, especially when the same stakeholders that would intervene in a 1-year application are actively participating in this proceeding.

Importantly, bridge funding should be approved for the existing Emergency Load Reduction Program (“ELRP”), as highlighted by SCE. ELRP has provided an important opportunity for customers to contribute critical emergency resources to California’s DR toolkit, including from their EVs. ELRP allows customers to provide emergency capacity both by reducing their charging load and by providing bidirectional discharge from the EV to onsite load or the grid. There is no other utility-administered DR offering in California that allows for bidirectional EVs to participate in this manner, despite over 2.4 million EVs on the road in California and a growing number of bidirectional EVs, including currently from Ford, Chevrolet, Tesla, Kia, Nissan, GMC, Cadillac, Volvo, Polestar, and Hyundai, as well as nearly all electric school buses sold in the state. As highlighted by SCE, “Extending ELRP (or funding a similar new program) through the bridge period will provide continuity [...] avoiding the loss of critical megawatts (MW) as the state pursues its 7,000 MW load shift goal.”⁴ The Commission should ensure that any bridge funding approved for the IOUs includes a specific extension for ELRP.

³ SDG&E Opening Comments at 15.

⁴ SCE Opening Comments at 5.

III. DEVELOPING UNIVERSAL PILOT SUNSET CRITERIA IS NOT WELL SUITED FOR THIS PROCEEDING GIVEN WIDE VARIATIONS IN EXISTING PILOT GOALS, DESIGNS, AND CUSTOMER TYPES.

In Opening Comments, the Public Advocates Office at the California Public Utilities Commission (“Cal Advocates”) states that this proceeding should discuss the development of specific sunset criteria for DR pilots, arguing that the Commission does not have a sufficient mechanism to end underperforming pilots.⁵ VGIC disagrees that this should be pursued at this time. Pilots are highly diverse and can handle a wide variety of different types of elements, from technical pilots that test new technologies, program pilots that test novel program designs and customer engagement strategies, to rate design pilots that look at the impact of new pricing, and more. Given the wide breadth of pilots, it would be difficult to establish standard criteria for their sunset. Additionally, the Commission already has opportunities to review pilot performance. Pilots are approved with a specific budget, and the IOUs are only allowed to spend up to that amount, guarding against excessive ratepayer costs. Pilots are also reviewed regularly, and for DR pilots specifically, they are reviewed during the DR application, which occurs every 5 years. It often takes significant time for pilots to be stood up too, so by the time these pilots are reviewed, they are unlikely to have 5 years of operational data, instead only having a few years to consider. Regardless, each pilot is unique, and it is unlikely that universal sunset criteria will be able to be reasonably created. Therefore, the Commission should focus its limited resources on other key issues detailed in the OIR and stakeholders’ comments, including those detailed in VGIC’s opening comments.

⁵ Cal Advocates Opening Comments at 4.

IV. CONCLUSION.

VGIC appreciates the opportunity to provide these reply comments on the OIR. We look forward to further collaboration with the Commission and stakeholders on this initiative.

Respectfully submitted,

/s/ Zach Woogen

Zach Woogen

Executive Director

VEHICLE-GRID INTEGRATION COUNCIL

Date: December 1, 2025